

EQUITY RESEARCH · COMPANY DEEP DIVE

Eli Lilly and Company (LLY.US)

Healthcare · Drug Manufacturers - General

Large Cap (>\$200B) · Report Date: July 27, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-07-27

OVERWEIGHT

Composite · Valuation: HOLD

Target \$1278.52 · +6.7% upside

Price \$1198.02

- INVESTMENT HIGHLIGHTS
- HOLD** — blended target \$1278.52 (+6.7% vs \$1198.02); Comps 80% + Analyst 20% valuation after outlier checks.
 - Strong revenue growth; high operating margins; weak roe; positive fcf generation
 - FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	HOLD	Blended PT \$1278.52	45%
FSA	Stable	Health -0.05 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.80 · 12m +48%	15%
Composite	OVERWEIGHT	Score +0.30 · 75% confluence	—

Valuation + technical aligned bullish.

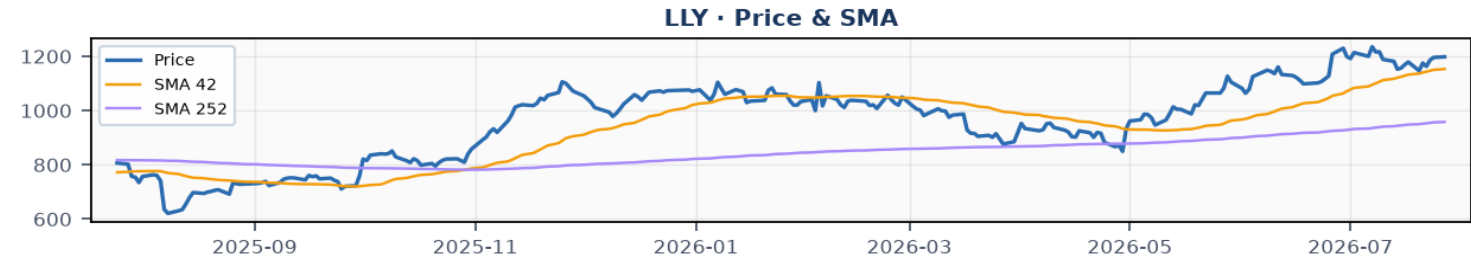
INVESTMENT THESIS / EXECUTIVE SUMMARY

Eli Lilly and Company (LLY) — Healthcare. Eli Lilly and Company discovers, develops, manufactures, and markets human pharmaceutical products in the United States, Europe, China, Japan, and... **HOLD** rating; blended target \$1278.52. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$1.07T	Shares Out.	891.7M
52-Week Range	\$623.78 – \$1249.45	P/E (TTM)	42.6x
P/B	34.3x	Beta	0.51
Avg Volume	3.17M	Analyst Rec.	Buy
Revenue (TTM)	\$72.25B	Rev Growth	+55.5%
Op. Margin	49.4%	FCF (TTM)	\$5.96B
Gross Margin	82.8%	ROE	1.1%
EV/EBITDA	30.5x	Debt/Equity	139.0%
EPS (TTM)	\$28.11	Div Yield	58.0%

PRICE TREND · SMA 42 / 252



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	45,043	65,179	101,353	141,489	181,771
Revenue Growth (%)	N/A	44.7%	55.5%	39.6%	28.5%
Net Income (\$M)	10,590	20,640	32,095	44,805	57,561
Gross Margin (%)	81.3%	83.0%	82.8%	82.8%	82.8%
Net Margin (%)	23.5%	31.7%	31.7%	31.7%	31.7%
EPS (\$)	11.88	23.15	35.99	50.24	64.55
P/E (x)	100.88	51.76	33.29	23.84	18.56

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$1153.38	Short-term trend	12m Momentum	+48.5%	
SMA (252d)	\$958.10	Long-term trend	3m Momentum	+38.2%	
RSI (14d)	41.5	Momentum oscillator	Ann. Volatility	32.6%	
Trend	Bullish		Sharpe Ratio	1.08	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-34.5%	
Death Cross (20d)	No		Rel. Strength vs SPY	+335.7%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$1153.38, SMA252=\$958.10	Quant Score	+0.80	POSITIVE
			SMA Backtest (ann.)	29.4%	B&H; 39.3%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$246.56	-79.4%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or d...
Comps — Blended	\$1280.55	+6.9%	80%	Included in blend
Analyst consensus	\$1270.37	+6.0%	20%	Included in blend
Blended target	\$1278.52	+6.7%	100%	Comps 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
7.50%	1.50%	19.43%	\$219.87B	\$246.56	-79.4%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MRK	Merck & Company, Inc.	\$325.50B	37.1x	12.4x	13.6%	+4.9%
ABBV	AbbVie Inc.	\$459.57B	126.9x	17.4x	5.8%	+12.4%
PFE	Pfizer, Inc.	\$141.13B	18.9x	7.5x	11.8%	+5.4%
JNJ	Johnson & Johnson	\$644.85B	31.1x	19.0x	21.5%	+6.6%
LLY*	Eli Lilly and Company	\$1.07T	42.6x	30.5x	35.0%	+55.5%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (55.5% YoY); High operating leverage (49.4% margin); Defensive profile (β=0.51) · Risks: Elevated leverage (D/E: 139%); Premium valuation (P/E: 42.6x) Strong revenue growth; high operating margins; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.